

Choosing the Best Mortgage for You

As you can see, there are many mortgage options, so it's important to understand how each of the basic types would impact your payments. Don't underestimate the impact of interest rates on your monthly payments. A \$100,000 loan at 7 percent interest for thirty years would cost \$665 per month. The same loan at 8 percent interest would cost \$734 per month, a difference of \$24,840 over the life of a thirty-year mortgage.

For most people, a standard thirty-year mortgage is a good choice. You'll know what to expect each month, and you're not taking any wild risks. If you really want to save on interest costs, you can go for the fifteen-year mortgage.



The website of HSH Associates (www.hsh.com), the largest publisher of mortgage rates and other financial information in the United States, can help you quickly track down the best mortgage rates offered by lenders located near you. Rates for borrowers with perfect credit are separate from rates for those with “bruised” credit.

The interest-only option and any loan with negative amortization are much more complicated. If you have an investment plan that's more attractive than building equity in your home, the interest-only route can make sense. Negative-amortization loans (sometimes found in “option ARM” programs) are extremely dangerous. You may be able to make the monthly payments today, but be prepared for a disastrous shock down the road.

Federal Truth in Lending Act and the APR